Fictional Document Annotation Services Agreement

This agreement governs the provision of document annotation services by AnnotaWorks Ltd. to the Client for a term of 12 months, with a total projected service output of 119.39 thousand annotated units and a corresponding cost of 77.60 thousand, yielding an operating surplus of 41.79 thousand as simulated in the pricing model. The parties agree to the scope, obligations, and quality standards set forth in the following sections.

Supporting records are presented in Table 2.

Supporting records are presented in Table 1.

Milestone	Due Date	Payment Amount	Deliverable
Contract signing	Day 2	53.23	Signed agreement
First batch	Week 12	61.97	Annotated batch
Midterm review	Week 12	66.86	Review report
Final delivery	Week 12	77.60	Final deliverables

Table 1: Key milestones and payment schedule

1 Scope of Services

Year	Output (thousand units)	Cost (thousand)	Operating Surplus (thousand)
2022	81.89	53.23	28.66
2023	95.34	61.97	33.37
2024	102.86	66.86	36.00
2025	119.39	77.60	41.79

Table 2: Projected annual output and cost for annotation services

The scope defines the annotation tasks, volume, and delivery schedule. The Provider shall annotate documents according to the guidelines and quality thresholds specified herein, ensuring timely delivery and adherence to the agreed standards across every batch produced during the term.

1.1 Annotation Tasks and Deliverables

This section details the specific annotation tasks, including entity recognition, relation extraction, and classification, and the format of deliverables. Each task is subject to acceptance criteria and review procedures before any batch is deemed complete and eligible for invoicing.

1.1.1 Task Descriptions and Guidelines

The Provider shall perform annotation tasks as described in the guidelines, which cover labeling conventions, edge cases, and quality checks. The guidelines are incorporated by reference and may be updated by mutual written agreement of the parties when task definitions evolve.

1.1.1.1 Quality Assurance and Review

The Provider shall implement a quality assurance process, including sample reviews and feedback loops, to maintain annotation accuracy and consistency. The Client may conduct periodic audits to verify compliance with the agreed thresholds and documented conventions.

1.1.1.1.1 Sampling and Accuracy Checks

The Provider shall perform sampling on 240 units per batch and report accuracy metrics. The Client may request additional checks if accuracy falls below the agreed threshold, and the Provider shall bear the cost of any expanded sampling required.

1.1.1.1.2 Error Correction and Rework

Errors identified during reviews shall be corrected within 5 business days. Rework shall be at the Provider's expense if errors exceed the agreed error rate, and repeated failures may trigger the service credit remedies described later in this agreement.

1.1.1.2 Delivery Schedule and Format

Deliverables shall be submitted according to the schedule set out in the milestone table, in the specified electronic format. Late deliveries may incur penalties as set forth in the service levels, and the Client may reject batches that fail format checks.

1.1.2 Client Responsibilities

The Client shall provide timely access to source documents, guidelines, and feedback, and shall designate a point of contact for approvals and clarifications. Delays caused by the Client shall extend affected deadlines by a corresponding period.

Criterion	Requirement	Verification Method	Pass/Fail
Format compliance	XML schema	Automated check	Pass
Accuracy threshold	41.79%	Sampling	Pass
Completeness	All fields	Manual review	Pass
Timeliness	Per schedule	Timestamp	Pass

Table 3: Acceptance criteria checklist for deliverables

1.2 Acceptance Criteria

Acceptance of deliverables is conditional on meeting the quality metrics and format requirements. The Client shall notify the Provider of acceptance or rejection within 2 business days, and silence beyond that period shall be treated as acceptance.

Supporting records are presented in Table 3.

2 Service Levels and Performance

The Provider shall meet the service levels specified herein, including response times and accuracy targets, to ensure reliable and consistent service delivery throughout the term and across all workstreams assigned to it.

2.1 Performance Metrics and Reporting

The Provider shall report monthly on key performance indicators, including output volume and accuracy. The metrics are used to assess service levels and identify areas for improvement, and the reporting format is set out in the metrics template.

Supporting records are presented in Table 5.

2.1.1 Service Credits and Remedies

If the Provider fails to meet service levels, service credits may apply as a remedy. The credits are calculated based on the extent of the shortfall and are subject to the limitations described in the credit provisions of this agreement.

2.1.1.1 Credit Calculation and Application

Service credits are calculated as a percentage of the monthly fee, as detailed in the credit schedule table. Credits are applied to the next invoice and are the sole remedy for performance shortfalls, except where termination rights apply.

Supporting records are presented in Table 4.

Shortfall Level	Credit Percentage	Notification Period	Maximum Credit
Minor	28.66%	2 days	28.66% of fee
Moderate	33.37%	2 days	33.37% of fee
Major	36.00%	2 days	36.00% of fee
Critical	41.79%	2 days	41.79% of fee

Table 4: Service credit schedule based on performance shortfall

2.1.1.1.1 Credit Request Procedure

The Client must request service credits within 2 business days of the shortfall, providing evidence. The Provider shall verify and apply credits promptly, and disputed claims shall be escalated to the review meeting.



Figure 1: Limitations on service credits by shortfall type

2.1.1.1.2 Limitations on Credits

Service credits shall not exceed the total fees paid for the affected month and are not available for force majeure events or Client-caused delays. The limitation table lists the caps that apply to each shortfall type.

Supporting records are presented in Figure 1.

2.1.1.2 Performance Review Meetings

The parties shall hold quarterly performance review meetings to discuss metrics, resolve issues, and plan improvements. Minutes shall be recorded and signed by both parties, and agreed actions shall be tracked until closure.

2.1.2 Reporting Obligations

The Provider shall submit monthly reports on annotation output, accuracy, and compliance with service levels. Reports shall be in a format agreed by the parties and shall accompany each invoice submitted for the relevant period.

2.2 Continuous Improvement

The Provider shall propose and implement continuous improvement initiatives to enhance quality and efficiency, subject to the Client's approval. Progress on approved initiatives shall be summarized in the quarterly review meetings.

Metric	Target	Actual	Status
Output volume	119.39	119.39	On track
Accuracy	41.79%	41.79%	Met
Response time	2 days	2 days	Met
Review time	5 days	5 days	Met

Table 5: Monthly performance metrics reporting template